**THE PRIME MINISTER'S OFFICE**
**REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT**
**LONGIDO DISTRICT MID TERM JOINT EXAMINATION**

**FORM THREE**
**061 COMMERCE**
**MARKING SCHEME AUGUST 2026**

## SECTION A (16 MARKS)

1. Answers

| (i) | (ii) | (iii) | (iv) | (v) | (vi) | (vii) | (viii) | (ix) | (x) |
|---|---|---|---|---|---|---|---|---|---|
| D | D | D | B | B | B | A | A | B | B |

2. Answers

| (i) | (ii) | (iii) | (iv) | (v) | (vi) |
|---|---|---|---|---|---|
| C | D | I | E | B | A |

## SECTION B (54 MARKS) @ 9 marks

3. (a)Average Stock: (1.5 Marks)

$$\text{Average Stock} = \frac{\text{Opening\ Stock}+\text{Closing\ Stock}}{2} = \frac{50{,}000+25{,}000}{2} = \text{TZS } \mathbf{37{,}500/=}$$

(b) Cost of Sales (Cost of Goods Sold): (1.5 Marks)

$$\textit{CostofSales} = \textit{Opening Stock} + \textit{Purchases} - \textit{Closing Stock}$$

$$\text{Cost of Sales} = 50{,}000 + 82{,}000 - 25{,}000 = \text{TZS } \mathbf{107{,}000/=}$$

(c) Gross Profit: (1.5 Marks)

$$\textit{Gross Profit} = \textit{Sales} - \textit{CostofSales} = 145{,}000 - 107{,}000 = \textit{TZS } 38{,}000/=$$

(d) Rate of Stockturn (ROST): (2 Marks)

$$\text{ROST} = \frac{\text{Cost of Sales}}{\text{Average Stock}} = \frac{107{,}000}{37{,}500} = \mathbf{2.85} \text{ times (or } \mathbf{2.9} \text{ times)}$$

(e) Gross Profit Margin: (2.5 Marks)$\text{Margin} = \frac{\text{Gross\ Profit}}{\text{Sales}} \times 100\% = \frac{38{,}000}{145{,}000} \times 100\% = \mathbf{26.21\%}$

4. **Transport and Communication (9 Marks)**

***Six points explained = 9 marks (1.5 marks per point).***

Expected merits of the Standard Gauge Railway (SGR) project:

(i) **Higher Transit Speeds:** SGR trains travel significantly faster than old meter-gauge systems, drastically slashing transit times for passengers and freight.

(ii) **Increased Haulage Capacity:** Designed to pull heavier electric locomotives and larger container cargo volumes per single trip.

(iii) **Reduced Transport Costs:** Economies of scale lower the per-unit cost of long-distance cargo haulage from the coast inland.

(iv) **Enhanced Safety and Reliability:** Modern tracking systems and robust infrastructure minimize derailment and accident risks.

(v) **Environmental Eco-friendliness:** Running on electric locomotive systems lowers carbon emissions compared to diesel engines.

(vi) **Regional Trade Linkage (Transit Corridors):** Connects Dar es Salaam port efficiently to landlocked neighboring countries (Rwanda, Burundi, DRC), boosting transit revenue.

5. **International Trade - Product Differentiation (9 Marks)**

***Six points discussed = 9 marks (1.5 marks per point).***

Reasons why international trade and exchange of goods/services are inevitable:

(i) **Unequal Distribution of Natural Resources:** Countries possess different climatic zones, mineral deposits, and soil configurations, creating unique natural advantages.

(ii) **Differences in Technical Know-how and Skills:** Advanced technological infrastructure allows some nations to manufacture complex machinery efficiently, while others specialize in primary raw materials.

(iii) **Variations in Production Cost Structure:** Due to differences in labor rates and resource proximity, it is often cheaper to import certain goods than to manufacture them locally.

(iv) **Consumer Choice and Taste Diversification:** Product differentiation creates global demand for unique branding variations, foreign fashions, and specialized luxury items.

(v) **The Principle of Absolute/Comparative Advantage:** Nations maximize efficiency by specializing in producing what they can make at a lower opportunity cost and trading for the rest.

(vi) **Domestic Shortages and Emergencies:** Severe droughts, industrial actions, or crop failures force countries to buy essentials from international markets to avoid shortages.

6. **Business Documents (9 Marks)**

***Five documents briefly explained = 9 marks (1.8 marks per point).***

Key business documents used between trade dealers:

(i) **Inquiry:** A document sent by a prospective buyer to a seller requesting information on the availability, prices, and terms of supply of specific goods.

(ii) **Quotation:** A reply from the seller to the buyer's inquiry stating the prices, cash discounts, and terms of delivery for the requested items.

(iii) **Order:** A formal written instruction issued by a buyer requesting a seller to supply specific quantities of designated goods.

(iv) **Delivery Note:** A document sent alongside goods to be signed by the buyer upon arrival to certify that the physical consignment arrived intact.

(v) **Invoice:** A document sent by the seller to the buyer detailing the quantities, unit prices, total cost of goods supplied, and payment deadlines. It serves as a formal demand for payment.

7. **Central Banking and Credit Control (9 Marks)**

***Six points stated = 9 marks (1.5 marks per point).***

Methods employed by a Central Bank to control credit in the economy:

(i) **Bank Rate Policy (Discount Rate):** Adjusting the interest rate at which the central bank lends money to commercial banks, directly influencing commercial borrowing rates.

(ii) **Open Market Operations (OMO):** The buying or selling of government securities (bonds/bills) in the open financial market to adjust the cash volume in the banking system.

(iii) **Variable Cash Reserve Ratio (CRR):** Varying the mandatory minimum percentage of deposits that commercial banks must hold in reserve at the central bank.

(iv) **Special Deposits:** Ordering commercial banks to freeze specific financial parts of their reserves to restrict their loan lending capacity.

(v) **Margin Requirements:** Altering the required difference between the loan amount advanced and the market value of the collateral security provided.

(vi) **Moral Suasion:** Sending informal guidelines, warnings, or appeals to commercial banks to restrict or ease their credit allocation voluntarily.

8. **Banking and Credit Management (9 Marks)**

***Six points described = 9 marks (1.5 marks per point).***

Qualities of a good borrower assessed by financial lenders (The 5 C's of Credit Assessment):

(i) **Character (Integrity):** The applicant's reputation for honesty, reliability, and past track record of honoring financial debts.

(ii) **Capacity to Repay:** A steady income stream, stable job, or profitable cash flow demonstrating the clear financial ability to pay back the loan structure.

(iii) **Capital Contribution:** The borrower's personal financial equity invested in the venture, reducing total reliance on external debt.

(iv) **Collateral Security:** Possession of stable tangible assets (land titles, buildings) that can be pledged as security and liquidated if default occurs.

(v) **Clear Purpose:** The loan must be intended for a viable project or asset purchase that yields measurable returns, rather than pure consumption.

(vi) **Credit History:** A clean, verifiable history checked through Credit Reference Bureaus showing no active non-performing defaults.

## SECTION C (30 MARKS)

9. **Financial Capital Sources Essay (15 Marks)**

**Introduction (1.5 Marks):** Defines financial capital as the funds needed to acquire assets and cover daily business operations. It acknowledges that selecting matching financing mixes shapes small-business survival.

**Body / Six Sources Identified and Detailed (12 Marks, 2 Marks each):**

(i) *Personal Savings (Owner's Equity):* Initial money contributed directly by the founders from personal bank balances. It is interest-free and shows commitment.

(ii) *Retained Profits (Ploughed-back Capital):* Reinvesting past undistributed business earnings directly back into operations to expand capacity without borrowing.

(iii) *Loans from Commercial Banks:* Securing medium to long-term capital from commercial banks, which requires collateral security and carries interest charges.

(iv) *Trade Credit:* Buying stock or inventory from suppliers on credit terms (e.g., pay within 30 to 60 days), which provides temporary working capital.

(v) *Leasing and Hire Purchase:* Acquiring equipment or vehicles immediately by paying down-payments and installments, saving instant cash outflow.

(vi) *Venture Capital and Angel Investors:* Attracting wealthy individual investors who inject capital into high-potential startups in exchange for an equity share.

**Conclusion (1.5 Marks):** Concludes that the best financial mix balances costs against repayment risks. The entrepreneurs should start with low-risk funds like equity before taking on heavy bank debts.

10. **Marketing and Sales Promotion Essay (15 Marks)**

**Introduction (1.5 Marks):** Introduces sales promotion as short-term incentive tools designed to stimulate quicker or larger purchases of products. It links this strategy to reviving sales during unexpected demand drops.

**Body / Six Promotional Tools Detailed (12 Marks, 2 Marks each):**

(i) *Price Discounts / Price Reductions:* Temporarily lowering the unit price of "Embe dodo" juice (e.g., 20% off) to attract budget-conscious consumers.

(ii) *Free Samples:* Distributing miniature sample bottles of the juice at schools or supermarkets to encourage initial trial and word-of-mouth promotion.

(iii) *Buy-One-Get-One-Free (BOGO):* Offering an extra juice bottle free for every purchase made, quickly turning over stagnant inventory.

(iv) *Coupons and Vouchers:* Issuing print or digital tickets that give customers a price deduction on their next purchase.

(v) *Customer Contests and Raffles:* Running competitive prize draws where buyers who collect a specific number of juice bottle caps can win rewards.

(vi) *Point-of-Sale (POS) Displays:* Setting up attractive, colorful product stands or banners inside retail stores to draw immediate consumer attention.

**Conclusion (1.5 Marks):** Recommends that while these tools provide an immediate boost to sales, Esha must maintain product quality to build long-term brand loyalty.

11. **Evolution of Trade - Barter System Hindrances (15 Marks)**

**Introduction (1.5 Marks):** Defines barter trade as the direct exchange of goods for other goods without using money. It notes that while this system served early human communities, it proved too rigid for growing economies.

**Body / Six Hindrances Explained (12 Marks, 2 Marks each):**

(i) *Lack of Double Coincidence of Wants:* Exchange requires finding someone who not only has what you want, but also wants exactly what you are offering.

(ii) *Absence of a Common Measure of Value:* There was no standard unit to determine how many pieces of firewood were worth a single goat, leading to unfair exchange rates.

(iii) *Indivisibility of Certain Goods:* Large assets (like an ox or a cow) could not be cut into pieces to trade for small items like a basket of sweet potatoes without destroying their value.

(iv) *Difficulty in Storing Value (Perishability):* Wealth stored in physical goods like tomatoes, meat, or fish rots quickly, preventing wealth accumulation over time.

(v) *Problem of Deferred Payments:* It was difficult to arrange credit agreements or future payments because the value or quality of the physical goods could change over time.

(vi) *Lack of Portability:* Moving heavy livestock or bulky agricultural produce over long distances to perform an exchange was physically exhausting and logistically difficult.

**Conclusion (1.5 Marks):** Summarizes that these severe limitations led to the development of commodity money and eventually modern currency systems, which resolved these structural bottlenecks.